

FIGURE 8-1 From Stinkers to Stars

Company	Business	Total Return			Final value of \$1,000 invested 1/1/1999
		1999	2000	2001	
Angella	industrial uniforms	-43.7	1.8	19.3	94.1
Ball Corp.	metal & plastic packaging	-12.7	19.2	55.3	46.0
Checkers Drive-In Restaurants	fast food	-45.5	63.9	66.2	2.1
Family Dollar Stores	discount retailer	-25.1	33.0	41.1	5.0
International Game Technology	gambling equipment	-16.3	136.1	42.3	11.2
J B Hunt Transportation	trucking	-39.1	21.9	38.0	26.3
Jos. A. Bank Clothiers	apparel	-62.5	50.0	57.1	201.6
Lockheed Martin	defense & aerospace	-46.9	58.0	39.0	24.7
Pier 1 Imports	home furnishings	-33.2	63.9	70.5	10.3
UST Inc.	snuff tobacco	-23.5	21.6	32.2	1.0
Wilshire Internet Index		139.1	-55.5	-46.2	-45.0
Wilshire 5000 Index (total stock market)		23.8	-10.9	-11.0	-20.8
					778

Sources: Aronson + Johnson + Ortiz, L.P.; www.wilshire.com

But then, as it so often does, the market had a sudden mood swing. Figure 8-1 offers a sampling of how the stinkers of 1999 became the stars of 2000 through 2002.

As for those two holding companies, CMGI went on to lose 96% in 2000, another 70.9% in 2001, and still 39.8% more in 2002—a cumulative loss of 99.3%. Berkshire Hathaway went up 26.6% in 2000 and 6.5% in 2001, then had a slight 3.8% loss in 2002—a cumulative gain of 30%.

Can You Beat the Pros at Their Own Game?

One of Graham's most powerful insights is this: "The investor who permits himself to be stampeded or unduly worried by unjustified market declines in his holdings is perversely transforming his basic advantage into a basic disadvantage."